

the space grows, and likely to dizzying levels, we'll once again hear the refrain that old methods of valuation no longer apply. When the innovative investor hears that refrain, it will be important to stay on high alert and investigate if the new method of valuation really makes sense.

Throughout this book, we've tried to stay on message that the innovative investor may be a new class of investor, just as cryptoassets are a new asset class. However, we've also been reminding readers of lessons to be learned from the past and time-tested tools of portfolio and asset analysis. Ignoring these important lessons will lead people into the trap of thinking that not only are things different this time, but that they are different from other investors as well.

Generally, these traps follow a pattern: initially, there may be support for the underlying price appreciation, as with most fundamental innovations. But that price appreciation and the story behind it can become a self-fulfilling prophecy. People become entranced by stories of their friends and family making easy money, even when they knew little about what they bought. In times like these (as in Tulipmania), many subscribe to the "greater idiot" ideal: people can make money so long as they are able to sell the asset at a higher price to an idiot greater than them. A key indicator of the unsustainability of mass speculation is when new and inexperienced entrants stream into the markets.

Bubbles are typically worsened by cheap credit, as financial institutions provide speculators the means to take out loans so they can buy more of the asset than they could with cash on